The plant and machinery fall under the category of capital asset. It undergoes wear and tear in the manufacturing process and it is a sort of consumption and is called **consumption of fixed capital**.

The reward to employee, entrepreneur or enterprise and consumption of fixed capital is called **factor cost**. All these are expenditures to manufacture wheat flour. All these added together is the value addition done to wheat and electricity. It is the **Gross Value Added** by the wheat flour manufacturing industry.

Gross value added at basic prices = Compensation of Employees (CE) + Operating Surplus / Mixed income (OS/MI) + Consumption of Fixed Capital (CFC) + Production taxes less Production subsidies

The payments made to employees are called **compensation to employees (CE)** and the payments made to enterprises are called **operating surplus or mixed income (OS/MI)**. The machinery and buildings undergo wear and tear which leads to loss in their value. It is called **consumption of fixed capital (CFC)**. The production taxes are taken as net of production subsidies.

Compensation of Employees

Compensation of employees is defined as the total remuneration, in cash or in kind, payable by an enterprise to an employee in return for work done by the latter. It is simply known as the wage and salary paid to workers and employees either in cash or in kind. An example for payment made in kind is agriculture produce given to agriculture labourers.

Operating Surplus or Mixed Income

Operating surplus or mixed income is a measure of the surplus accruing from processes of production before deducting any explicit or implicit interest charges, rent or other property incomes payable on the financial assets, land or other natural resources required to carry on the production.